itself, and intervention would be an avoidable waste of scarce forex resources.

There are, of course, counterarguments on all these counts, but the bottom line is that targeting the real exchange rate can be as complex and futile as targeting the nominal exchange rate.

Many times during this period of turmoil, I had wondered about the gap between the Reserve Bank's stated exchange rate policy and its actions in the forex market. For one, 'volatility' is the crucial word in the policy statement, but we have never defined what we meant by that, or more specifically, what level of volatility would trigger interventionist action. Analysts who track the Reserve Bank's behaviour would note that we had intervened in the market even when there was a sharp one-way movement in the exchange rate. How does this square with any definition of volatility in the policy statement? Is building reserves an acceptable justification for intervention? If so, what according to the Reserve Bank is the optimal level of reserves?

These questions would be standard fare in the countless situation room meetings we had during those tumultuous months. My staff would concede that the market could be bewildered by the Reserve Bank's actions but would not acquiesce in the idea that we should make our policy more explicit. Their main argument was that the exchange rate is a sensitive and critical macro variable, that the Reserve Bank should retain all flexibility to act swiftly and decisively, and should not voluntarily become hostage to a more explicit and restrictive policy statement. Besides, no central bank, they would contend, is transparent about its exchange rate policy and it does not pay for any one country to be an outlier, especially in a world of 'currency wars'.

Notwithstanding the global acrimony over the currency wars, I believe there is a case for the Reserve Bank to review and restate its exchange rate policy. I can hardly attempt to outline a full policy statement here, but the revised policy should be based on the following premises. First, the Reserve Bank should be less interventionist than it has traditionally tended to be; in other words, it should minimize the moral hazard by shifting more of the